

## Case Study on M&A Due Diligence – Telecom

6. How a national telecom company conducted comprehensive due diligence to evaluate the acquisition of a regional ISP and mitigate hidden risks.

**Introduction** A leading national telecom company sought to rapidly expand its broadband footprint and customer base by evaluating the acquisition of a regional Internet Service Provider (ISP). While the target company presented highly attractive financial metrics on the surface, the acquirer needed to validate the deal's true value. This case study details the due diligence approach utilized to uncover hidden liabilities, assess regulatory compliance, and validate infrastructure quality.

**Background** The telecommunications sector is highly capital-intensive and heavily regulated. Prior to initiating formal due diligence, the national telecom company noted that the regional ISP's reported profit margins were unusually high compared to industry benchmarks. This raised initial concerns regarding potential underinvestment in network maintenance, hidden operational liabilities, and regulatory compliance gaps that could jeopardize the acquisition's long-term viability.

### Due Diligence Approach & Red Flags

- **Technical and Infrastructure Assessment:** The company deployed network engineers to audit the quality, age, and capacity of the physical broadband infrastructure (e.g., fiber versus legacy copper wiring). *Red flags targeted:* Deferred maintenance, outdated hardware nearing end-of-life, or a lack of scalability to support future bandwidth demands.
- **Quality of Earnings (QoE) Analysis:** Financial experts conducted a deep dive to normalize EBITDA and verify the sustainability of revenue streams. *Red flags targeted:* Premature revenue recognition, high customer churn rates masked by aggressive short-term promotional discounting, or massive off-balance-sheet liabilities.
- **Regulatory and Legal Compliance Audit:** Legal teams reviewed local municipal agreements, right-of-way access rights, and spectrum licenses. *Red flags targeted:* Pending litigation, expiring local permits, or non-compliance with data privacy regulations.
- **Customer and Contract Diligence:** The team reviewed the terms of enterprise contracts and analyzed the retail customer base for satisfaction and retention metrics. *Red flags targeted:* A high concentration of revenue tied to a few easily terminable enterprise contracts, or a history of frequent network outages leading to poor customer reviews.

## Impact

- **Risk Mitigation:** The multi-pronged due diligence approach successfully identified areas where the regional ISP had deferred maintenance, allowing the acquirer to forecast and prepare for necessary capital expenditures post-merger.
- **Valuation Adjustment:** By uncovering hidden operational liabilities and the true cost of upgrading legacy hardware (technical debt), the national telecom company was able to negotiate a fairer, reduced purchase price.
- **Regulatory Assurance:** Confirming the validity of local licenses and right-of-way agreements ensured that expansion plans would not be halted by legal injunctions post-acquisition.
- **Strategic Integration Planning:** A clear understanding of the target's operational state allowed the national telecom to build a realistic timeline, roadmap, and budget for integrating the regional infrastructure into its national network.

**Final Note** This case underscores that surface-level financials are insufficient for validating high-stakes M&A transactions, particularly in asset-heavy industries like telecommunications. A rigorous, cross-functional due diligence approach—spanning financial, technical, and legal domains—is essential to uncover red flags, accurately value the target, and ensure the strategic goals of the acquisition are safely met.

## Questions for Discussion

- Why might a target company in the telecom sector intentionally defer infrastructure maintenance prior to seeking an acquisition?
- How does discovering significant "technical debt" during due diligence directly impact the final valuation and negotiation strategy of a deal?
- What steps can an acquiring company take to protect itself if it discovers minor regulatory non-compliance during the final stages of due diligence?
- How should the acquiring company balance the urgency to close a competitive deal with the thoroughness required for a comprehensive due diligence process?